

Location Choices of Community Banks and Redlining: The case of Minority Depository Institutions(MDIs)

Noara Razzak *

January 15, 2025

Abstract

I study the location choices of MDIs and whether these choices are influenced by the historical segregation of urban areas. I construct a panel dataset to investigate whether MDIs are more likely to be located in neighborhoods that were historically “redlined”, compared to non-MDIs. Since MDIs are mission-driven community banks primarily owned by minorities, I study whether they establish in neighborhoods with restricted access to mortgages and racially discriminatory lending and also examine their proximity to such neighborhoods as reflected in the Home Owners’ Loan Corporation’s (HOLC) “Residential Security Maps”

JEL Classification Codes: G20, G21 , R12

*John E. Walker Department of Economics, School of Business, Clemson University, Clemson, South Carolina, 29634-1309, USA; email nrzzak@clemson.edu. I want to thank my advisor, Howard Bodenhorn, and members of the Dissertation Committee, the Public Workshop and the IO Workshop for their valuable feedback.